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SUPERIOR COURT OF THE STATE OF CALIFORNIA

IN AND FOR THE COUNTY OF ALAMEDA

GREEN SANDS INVESTMENT CLUB B,
LLC, a Delaware limited liability company,

Plaintiff,

v.

CRYPTO LOTUS FUND A, LP, a Delaware
limited partnership; Jonas Lauren Norr, an
individual; and Does 1 through 100, inclusive,

Defendants.

Case No.: 22CV008125

**DEFENDANTS' MEMORANDUM OF
POINTS & AUTHORITIES IN SUPPORT
OF MOTION TO COMPEL
ARBITRATION AND DISMISS OR STAY
JUDICIAL PROCEEDINGS, AND FOR
ATTORNEY'S FEES, COSTS, AND
EXPENSES**

[C.C.P. §§ 1281.2, 1281.4]

Date: October 26, 2022

Time: 2:30 P.M.

Dept.: Law & Motion

Judge: Hon. Dennis Hayashi

Reservation ID: 517154810574

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1 **I. INTRODUCTION**

2 This action should not be before this Court, because it is governed by binding JAMS
3 arbitration clauses. Plaintiff Green Sands Investment Club B, LLC (“Plaintiff”) admits that its
4 investment in Defendant Crypto Lotus Fund A, LP (“Crypto Lotus”) is governed by a “Subscription
5 Agreement and other offering-related documents,” defined in the Complaint as the “SA.” (Compl.
6 ¶ 10.) The Subscription Agreement attached as Exhibit A to the Complaint states that it is “subject
7 to the terms and conditions set out in the Funds’ offering memorandum” and the Fund’s Limited
8 Partnership Agreement (“LPA”).¹ (Compl. Ex. A at 3, 6.)

9 In turn, the Crypto Lotus Confidential Private Placement Memorandum (“Offering
10 Memorandum”) clearly states:

11 **“NOTICE REGARDING AGREEMENT TO ARBITRATE THIS**
12 **MEMORANDUM REQUIRES THAT ALL INVESTORS ARBITRATE ANY**
13 **DISPUTE ARISING OUT OF THEIR INVESTMENT IN THE LP INTERESTS.”**
(Norr. Decl. Ex. B at 8 (emphasis in original).)

14 Similarly, the LPA and Offering Memorandum both broadly provide that:

15 “any controversy or claim arising out of or relating to this Agreement, or the breach
16 thereof, shall be settled by arbitration ... in accordance with the then-existing rules
17 for commercial arbitration of the Judicial Arbitration and Mediation Service
(‘JAMS’).” (*Id.* Ex. A § 12.20 p. 48; *accord id.* Ex. B at 34 (same).)

18 Accordingly, this action is required to proceed in JAMS Arbitration under the Plaintiff’s
19 Subscription Agreement and the Crypto Lotus LPA and Offering Memorandum, because all claims
20 arise out of Plaintiff’s investment in Crypto Lotus. They also all relate to the LPA.

21 Indeed, Plaintiff’s claims related to its March 19, 2021 Agreement for repayment (“Side
22 Agreement”) are also required to proceed in JAMS Arbitration. The Side Agreement expressly states
23 that any dispute shall proceed “in the jurisdiction as set forth in the Investment Documents” and
24 expressly incorporates the “Investment Documents.” (Compl. Ex. C §§ 8, 13.)

25 Strikingly, Plaintiff has chosen not inform the Court of these binding Arbitration clauses,
26 even though Plaintiff knew about these clauses prior to filing this action. In December 2021,
27

28 ¹ The LPA the Offering Memorandum are attached as Exhibit A and B, respectively to the Declaration of
Jonas Norr filed herewith (“Norr Decl.”) and is incorporated by reference into this motion. (Cal. R. Court 3.1330.)

1 Plaintiff dismissed a virtually identical Complaint previously filed in this Court, after Defendants’
2 counsel raised the arbitration clauses. Plaintiff’s counsel stated on December 13, 2021 that Plaintiff
3 “*has agreed to proceed with arbitration*” of “*this matter to JAMS*.” (Decl. of G. Klingsporn
4 (“Klingsporn Decl.”) Ex. A (emphasis added).) But instead of proceeding to Arbitration as required
5 by the arbitration clauses (and as agreed), Plaintiff brought this action.

6 There is no basis for this action, because the arbitration clauses require JAMS arbitration.
7 Plaintiff has apparently re-filed its misleading complaint in Court in a bogus attempt to harass and
8 intimidate Defendants with a public filing aimed at harming Defendants’ reputations. The Court
9 should not countenance this gamesmanship. Under both Delaware and California law requiring
10 the enforcement of arbitration clauses, the Court should compel arbitration, stay or dismiss this
11 action, and award Crypto Lotus its fees, costs, and expenses incurred in bringing this motion.

12 II. STATEMENT OF FACTS

13 As Plaintiff admits,² it invested in Crypto Lotus in 2017 pursuant to “a Subscription
14 Agreement and other offering-related documents.” (Compl. ¶ 10.) In so doing, Plaintiff
15 “acknowledge[d] that [it] ha[d] received, read and understood,” and “agree[d] to be bound by” the
16 LPA. (Norr Decl. Ex. C, Part II, ¶¶ 1, 26 pp. 6, 34.) In fact, Plaintiff had to “sign” and “become
17 bound by” the LPA “in advance of ... and as a condition” of its investment in Crypto Lotus. (*Id.* Ex.
18 A § 3.2 at 4.) The LPA requires arbitration of all claims relating to the LPA:

19 “[T]o the fullest extent permitted by law, any controversy or claim arising out of or
20 relating to this Agreement, or the breach thereof, *shall be settled by arbitration* ...
21 in accordance with the then-existing rules for commercial arbitration of the Judicial
22 Arbitration and Mediation Service (‘JAMS’)” (*Id.* Ex. A § 12.20 (emphasis added).)
The LPA expressly chooses “the laws of the State of Delaware.” (*Id.* Ex. A § 12.4(a).)

23 In addition, the Subscription Agreement states that “[s]ubscriptions are subject to the terms
24 and conditions set out in the Funds’ offering memorandum.” (*Id.* Ex. C at 3 (beneath table of
25 contents).) The Offering Memorandum provides, in all caps (and bold):

26 “NOTICE REGARDING AGREEMENT TO ARBITRATE THIS
27 MEMORANDUM REQUIRES THAT ALL INVESTORS ARBITRATE ANY
28

² The facts as pled in the complaint are taken as true solely for purposes of this motion.

DISPUTE ARISING OUT OF THEIR INVESTMENT IN THE LP INTERESTS.”
(*Id.* Ex. B at 8 (emphasis in original).)

Next, the Offering Memorandum repeats the JAMS Arbitration requirement.

The Partnership’s Operating Agreement provides that all controversies arising in connection with the Operating Agreement will be submitted to arbitration Any dispute or controversy ... arising out of or relating to this Agreement, or the breach, termination, enforcement, interpretation or validity thereof shall be resolved exclusively by final and binding arbitration in Palo Alto, California ... [and] ... by JAMS. (*Id.* Ex. B at 34.)

Strikingly, Plaintiff has tried to hide these JAMS Arbitration clauses from the Court. Instead of addressing the Arbitration clauses in the Offering Memorandum and LPA, Plaintiff vaguely refers in its Complaint to the Subscription Agreement “and other offering-related documents” (defined as the “SA”) and to a subsequently-executed Side Agreement. (Compl. ¶ 10.) But Plaintiff’s efforts to hide the Arbitration clauses have failed, because the Subscription Agreement, attached to the Complaint, expressly incorporates the Offering Memorandum and the LPA. It states that it is “subject to the terms and conditions set out in the Funds’ offering memorandum” and the LPA. (Norr Decl. Ex. C at 3, 6.)

Moreover, Plaintiff’s own Side Agreement (Compl. Ex. C) expressly incorporates the Offering Agreement and LPA as part of the Side Agreement, by stating:

“Entire Agreement. This Agreement supplements the Investment Documents. This Agreement, together with the Investment Documents (including the documents referred to herein) constitute the entire agreement among the Parties.” (Compl. Ex. C § 13 (emphasis added).)

The Side Agreement defines the “Investment Documents” as “the documents consummating the Investment pursuant to which the terms of the Investment are set forth.” (*Id.* Ex. C § 1.) These are the LPA, Offering Memorandum, and Subscription Agreement. The Subscription Agreement is subject to the Offering Memorandum and provides that *the LPA is Crypto Lotus’s “Governing Document.”* (Norr Decl. Ex. C at 3 & Part II § 1 at 6 (emphasis added).)

To remove any doubt, the Side Agreement expressly provides that the jurisdiction to enforce its terms is “the jurisdiction as set forth in the Investment Documents.” (Compl. Ex. C § 8.) As shown above, the Offering Memorandum and LPA require JAMS Arbitration.

Critically, Plaintiff was fully aware of its arbitration obligation months before filing this

1 Complaint. Plaintiff previously filed a virtually identical complaint in this Court on October 26,
2 2021, alleging breaches of the Side Agreement and related misconduct. (Request for Judicial Notice
3 filed herewith (“RJN”), Ex. A.) On November 17, 2021, Defendants’ counsel cited the LPA’s
4 arbitration clause and “urge[d] [Plaintiff] to act on its own to move this case to JAMS Arbitration
5 now.” (Klingsporn Decl. Ex. A.)

6 On December 13, 2021, Plaintiff recognized that arbitration was required for its prior,
7 virtually identical complaint. Its counsel confirmed that Plaintiff “*has agreed to proceed with*
8 *arbitration* and is willing to attempt mediation first,” and that Plaintiff would dismiss its lawsuit “*to*
9 *expedite the submittal of this matter to JAMS.*” *Id.* (emphasis added). The next day, Plaintiff’s
10 counsel reaffirmed Plaintiff’s intention to “file with JAMS.” *Id.* Plaintiff voluntarily dismissed its
11 complaint on December 20, 2021, confirming its claims are arbitrable. (RJN Ex. B.)

12 But Plaintiff’s cooperation was short-lived. Instead of filing arbitration as Plaintiff agreed,
13 on March 8, 2022, Plaintiff filed the complaint in this action – nearly identical to its prior dismissed
14 pleading. Defendants now respectfully move this Court to enforce the parties’ arbitration clauses
15 by compelling JAMS arbitration, dismissing (or, alternatively, staying) this action, and awarding
16 Crypto Lotus its attorneys’ fees incurred in this unnecessary motion practice.

17 III. ARGUMENT

18 The plain language of the LPA and Side Agreement, and Delaware law, compel the
19 arbitration of Plaintiff’s claims and the dismissal (or at least the stay) of this lawsuit.³ Plaintiff’s
20 claims all arise from its investment in Crypto Lotus interests, and relate to the LPA as the governing
21 document for the Crypto Lotus fund. The LPA and Offering Memorandum have classically broad
22 arbitration clauses, which cover all of the claims here. Separately, based on the Side Agreement’s
23 provision of attorneys’ fees to a prevailing party, this Court should award Crypto Lotus its attorneys’
24 fees incurred in bringing this motion.

25 A. The Court Should Apply Delaware Law

26 As a threshold matter, Delaware law should govern this action. The LPA clearly states that
27

28 ³ Should the Court decline to apply Delaware law, California law would require at least a stay of litigation
pending the arbitration’s completion.

1 it “shall be governed and construed under the laws of the State of Delaware.” (Norr Decl. Ex. A §
2 12.4 at 37.) Similarly, the Crypto Lotus Offering Memo States that “Any dispute, claim or
3 controversy ... arising out of or relating to th[e LPA] Agreement Shall be resolved exclusively by
4 final and binding arbitration in Palo Alto, California, before a sole arbitrator, in accordance with
5 the laws of the State of Delaware.” (*Id.* Ex. B p. 34.) And the Side Agreement states it “shall be
6 governed by ... the laws ... as set forth in the Investment Documents.” (Compl. Ex. C § 8.)

7 Accordingly, the Court should follow California’s “strong policy favoring enforcement” of
8 “arm’s length contractual choice-of-law provisions,” and enforce the parties’ choice of Delaware law.
9 *Nedlloyd Lines B.V. v. Superior Ct.*, 3 Cal. 4th 459, 464-65 (1992). Delaware “clearly has a substantial
10 relationship to the parties” because both Plaintiff and Defendant Crypto Lotus are “incorporated
11 under the laws of” Delaware. *Id.* at 467; Compl. ¶¶ 1-2. Defendant Norr, as a Crypto Lotus
12 manager, is also connected to Delaware.

13 Where, as here, the parties to the relevant agreement “are incorporated in Delaware[, t]hat
14 fact is sufficient to establish a substantial relationship between the contracting parties and Delaware”
15 even if “a party [has] its principal place of business in [California].” *Hambrecht & Quist Venture*
16 *Partners v. Am. Med. Internat., Inc.*, 38 Cal. App. 4th 1532, 1546 (Cal. Ct. App. 1995). Moreover, “a
17 party’s place of incorporation also meets the alternative ‘reasonable basis’ test.” *Id.*; accord *Nedlloyd*
18 *Lines B.V.*, 3 Cal. 4th at 467-68.

19 Next, California public policy supports applying Delaware law. California courts have
20 repeatedly enforced arbitration clauses pursuant to Delaware law. *See Haas v. J.A. Cambece L. Off.*,
21 *P.C.*, 2006 WL 8455381, *5 (S.D. Cal. Apr. 5, 2006); *LeBoeuf v. NVIDIA Corp.*, 833 F. App’x 465,
22 466 (9th Cir. 2021). Accordingly, this Court should apply Delaware law.

23 **B. The Arbitration Clauses Require JAMS Arbitration for this Entire Action**

24 Each of the complaint’s claims relates to the LPA and Offering Memorandum, thereby
25 triggering both of their arbitration clauses. The arbitration clauses are very broad, and thus address
26 all of the claims in this action.

27 In “determining whether a claim is arbitrable under an arbitration clause,” the Court must
28 first “determine whether the arbitration clause is broad or narrow in scope” and then “apply the

relevant scope of the provision to the asserted legal claim” *Milton Invs., LLC v. Lockwood Bros., II, LLC*, No. 4909-VCP, 2010 WL 2836404, at *5 (Del. Ch. July 20, 2010) (internal quotation marks omitted). An arbitration clause is “broad” if it provides that “any controversy or claim arising out of or relating to this Agreement or the breach” thereof shall be decided by arbitration. *Id.* (internal quotation marks omitted). “[T]here is no question that [an] arbitration clause ... is broad [if] it covers all claims ‘arising out of’ or ‘related to’ the Agreement. *Town of Smyrna v. Kent Cty. Levy Ct., C.A.* No. 244-K, 2004 WL 2671745, at *2 (Del. Ch. Nov. 9, 2004)”); accord *Ramos v. Superior Ct.*, 239 Cal. Rptr. 3d 679, 689 (Cal. Ct. App. 2018) (noting that the phrase “‘arising under or related to’ is very broad”).

Here, the LPA and Offering Memorandum arbitration clauses are broad provisions covering any claims related to the LPA or arising from a Crypto Lotus investment. The LPA says:

“[T]o the fullest extent permitted by law, *any controversy or claim arising out of or relating to this Agreement*, or the breach thereof, shall be settled by arbitration” (Norr Decl. Ex. A § 12.20.)

The Offering Memorandum repeats this broad language: “Any dispute, claim or controversy ... arising out of or relating to this Agreement ... shall be resolved” by JAMS Arbitration. (*Id.* Ex. B p. 34.) Further, the Offering Memorandum provided Plaintiff with clear “**NOTICE REGARDING AGREEMENT TO ARBITRATE**” by stating “THIS MEMORANDUM REQUIRES THAT ALL INVESTORS ARBITRATE ANY DISPUTE ARISING OUT OF THEIR INVESTMENT IN THE LP INTERESTS.” (*Id.* Ex. B at 8.)

Moreover, the Side Agreement expressly incorporates the LPA and Offering Memorandum’s arbitration clauses by incorporating them as part of the agreement, and expressly stating that it “shall be governed by and construed in accordance with the laws and in the jurisdiction as set forth in the Investment Documents.” (Compl. Ex. C §§ 8, 13.)

This entire dispute is governed by the LPA and Offering Memorandum’s arbitration clauses because all claims relate to alleged breaches of the obligations and fiduciary duties created by the LPA and Offering Memorandum. Plaintiff had to “sign” and “become bound by” the LPA “in advance of ... and as a condition” of its investment in Crypto Lotus. (Norr Decl. Ex. A § 3.2.) Similarly, in signing the Subscription Agreement to invest in Crypto Lotus, Plaintiff “agree[d] to be

bound by ... the [LPA].” (Norr Decl. Ex. C, Part II § 26.) Further, the Subscription Agreement is clear that *the LPA is Crypto Lotus’s “Governing Document,”* used to determine the rights and duties of parties. (*Id.* Ex. C Part II § 1 at 6 (emphasis added).)

In short, any dispute concerning Plaintiff’s investment in Crypto Lotus necessarily arises out of or is related to the LPA and Offering Memorandum, to which the Side Agreement and Subscription Agreement are inextricably linked.⁴

Within this framework, each of Plaintiff’s claims is required to be arbitrated. Plaintiff’s claims for breach of contract and the good-faith covenant (the First and Fifth causes of action) allege breaches of the Side Agreement (*see, e.g.*, Compl. ¶¶ 36, 76), which “supplements” LPA, which in turn includes a broad arbitration clause. These claims therefore should be arbitrated. *See Ishimaru v. Fung*, No. C.A. 929, 2005 WL 2899680, at *14 (Del. Ch. Oct. 26, 2005) (holding that breach of contract claim was arbitrable where the “origins” of the allegedly breached contract were “rooted entirely in” another agreement with an arbitration clause).

Similarly, Plaintiff’s Fourth, Seventh and Eighth causes of action (fraudulent concealment, breach of fiduciary duty, and constructive fraud) are all governed by the LPA and Offering Memorandum arbitration clauses, because they all depend on a “fiduciary duty” created by the terms of the LPA (and Offering Memorandum). (Compl. ¶¶ 63, 87, 92.) It is well-settled that a limited partnership agreement is the source of fiduciary duties for a limited partnership. (*See* Norr Decl. Ex. A, Article IV (describing General Partner’s management of Crypto Lotus).) As Delaware courts have repeatedly held, claims of breach of “fiduciary duties” under a Partnership or Membership agreement are “clearly encompass[ed]” by a “broad” “arbitration clause, which requires the arbitration of any dispute relating to the Agreement,” because any “person adjudicating those claims would be required to interpret various provisions of the [LP] Agreement in order to fairly determine the ... nature of fiduciary duties.” *Douzinis v. Am. Bureau of Shipping, Inc.*, 888 A.2d 1146, 1152 (Del. Ch. 2006). This is because Limited Partnership Agreements are the documents that “create[] a system setting for[th] the governance and operation of the parties” business relationship. *Id.*

⁴ Indeed, Plaintiff’s first substantive allegation discusses its role as an “investor” in Crypto Lotus and refers to its execution of the “Subscription Agreement and *other offering-related documents*” (*i.e.*, the LPA). (Compl. ¶ 9 (emphasis added).)

(internal quotation marks omitted); accord *Elf Atochem N. Am., Inc. v. Jaffari*, 727 A.2d 286, 295-96 (Del. 1999) (holding that “claims for breach of fiduciary duty” governed by arbitration clause in LLC Agreement).

Plaintiff’s potpourri of additional tort claims all relate to the LPA and are therefore arbitrable. Under Delaware law, a “broad clause” requiring arbitration of “any and all disputes or controversies arising out of or relating to” the parties’ Agreement encompasses “all possible claims that touch on contract rights or contract performance.” *Wilcox & Fetzer, Ltd. v. Corbett & Wilcox*, No. 2037-N, 2006 WL 2473665, at *4 (Del. Ch. Aug. 22, 2006) (common law trademark claim governed by Agreement’s arbitration clause). That includes claims “aris[ing] from a noncontractual source,” but “touch[ing] on the contractual obligations created by the Agreement.” *Id.*; see *Milton Invs., LLC*, 2010 WL 2836404, at *5 (“[C]ourts will resolve doubts in favor of arbitration”). Each of Plaintiff’s tort claims – relating to either the LPA or the Side Agreement (which itself is rooted in the LPA) – should therefore be arbitrated:

- The second and third causes of action for intentional and negligent misrepresentation are based entirely on “representations” Defendants made concerning “the obligations under the SA [Subscription Agreement] and the Side Agreement. (*Id.* ¶¶ 46, 55.)
- The sixth cause of action for interference with contract arises out of Plaintiff’s “investment with Defendant Crypto Lotus” (*id.* ¶ 80), and thus plainly is “arising out of [its] investment in the LP Interests” of Crypto Lotus. (Norr. Ex. B p. 8.) This also relates to the LPA, which governs the parties’ relationship. (*Id.* Ex. A § 12.20 p. 48.)
- The ninth cause of action for declaratory relief (ninth cause of action), is facially related to the LPA and arises from Plaintiff’s investment, because it focuses on the “terms of the original SA” [Subscription Agreement], and it seeks a declaration of the rights under the Side Agreement, which incorporates the LPA and Offering Memorandum in Section 13. (*Id.* ¶¶ 97, 99; Compl. Ex. C § 13 at 3.)

Accordingly, this entire action should be required to proceed in JAMS Arbitration.

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1 **C. Because All Claims Are Required to be Arbitrated, this Action Should Be Dismissed**
2 **for Lack of Subject Matter Jurisdiction or, Alternatively, Stayed Pending Resolution**
3 **of the Arbitration**

4 Under Delaware law, which governs here, the parties' agreement to arbitrate should require
5 dismissal for lack of jurisdiction. Specifically, "Delaware courts lack subject matter jurisdiction to
6 resolve disputes that litigants have contractually agreed to arbitrate." *Menacker v. Overture, L.L.C.*,
7 No. CV 2019-0762-JTL, 2020 WL 4463438, at *12 (Del. Ch. Aug. 4, 2020). Accordingly, because,
8 as discussed above, the LPA's broad arbitration clause encompasses all of Plaintiff's claims, those
9 claims should go "to arbitration," and under Delaware law, the Court should "dismiss all issues ...
10 for lack of subject matter jurisdiction." *Milton Invs., LLC*, 2010 WL 2836404, at *5.

11 Alternatively, the Court at the very least should follow the California law requirement to stay
12 this action until arbitration proceedings are complete.⁵ Section 1281.4 of the California Code of
13 Civil Procedure provides, in relevant part, that a Court "shall, upon a motion ... stay [an] action
14 until the application for an order to arbitrate is determined," and if arbitration is ordered, "until an
15 arbitration is had" Therefore, should this Court retain jurisdiction, it should stay litigation
16 pending the outcome of the arbitration proceedings. See C.C.P. § 1281.4. At that time, Defendants
17 would respectfully request that the Court "administratively close" this litigation "in the interest of
18 judicial efficiency." See *Haas*, 2006 WL 8455381, at *5.

19 **D. Defendant Crypto Lotus Should Be Awarded Attorney's Fees, Costs, and Expenses**
20 **For Bringing This Motion, Pursuant to the Side Agreement's Terms**

21 The Side Agreement provides that "if [Plaintiff] initiates a dispute[,] claim, or cause of action
22 to enforce its rights hereunder, and [Crypto Lotus] is the prevailing party, then [Crypto Lotus] shall
23 be entitled to recover from [Plaintiff] the costs, fees, and expenses, including reasonable attorney's
24 fees, associated with the prosecution of such Claim." (Compl. Ex. C at 3.) Here, the parties have a
25 dispute over whether this action should proceed in Arbitration or in Court. Should Defendants
26 prevail on this issue, they should be awarded attorneys' fees and costs under the Side Agreement.

27 ⁵ Because the parties chose Delaware law, and it would have an outcome-determinative effect on the litigation
28 by requiring a stay instead of dismissal, the decision of which law to apply parallels the *Erie* doctrine, in which a
federal court applies foreign (state) law over federal law "where applying federal law would alter the outcome of the
litigation." *Kane v. Chobani, Inc.*, 2013 WL 3776172, at *3 (N.D. Cal. July 15, 2013). Analogously here, the Court
should look to the parties' chosen foreign law of Delaware to dismiss the complaint.

(Compl. Ex. C at 3.) The Court should accordingly grant Crypto Lotus its fees in connection with this motion. Such an award need not await final adjudication of the merits in arbitration.⁶ See *Benjamin, Weill & Mazer v. Kors*, 125 Cal. Rptr. 3d 469, 501 (Cal. Ct. App. 2011) (“[W]e do not believe a person who incurred attorney fees in vindicating a contractual right should be forced to file a separate claim in arbitration in order to recover those expenses.”); *Acosta v. Kerrigan*, 58 Cal. Rptr. 3d 865, 870 (Cal. Ct. App. 2007) (“Given the trial court must decide the motion to compel arbitration, we believe the court also should decide a request for fees *made in connection with that same petition*.” (emphasis in original)). Defendants will submit a post-hearing memorandum of costs seeking fees and costs actually incurred.

Attorneys’ fees can also be awarded under the American Rule, based on Plaintiff’s bad faith in filing this Complaint in Court, after previously acknowledging that its claims should proceed in JAMS Arbitration. (Klingsporn Decl. Ex. A.) Having already addressed the arbitration issue with Defendants in December 2021 (and dismissing its prior complaint), Plaintiff’s re-filing of its complaint in Court is strong evidence of bad-faith gamesmanship to try and harass Defendants with a public filing. The Court should award fees to discourage such misconduct.

IV. CONCLUSION

For the foregoing reasons, the Court should compel all claims to be arbitrated in JAMS Arbitration under the parties’ agreements. Further, the Court should look to Delaware law, which calls for the dismissal of a complaint to enforce an arbitration provision; or, alternatively, the Court should follow the California law option of staying this action pending the conclusion of arbitration. Moreover, the Court should award Crypto Lotus its costs, fees, and expenses incurred in connection with this motion.

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⁶ Should the Court decline to award attorney’s fees, Crypto Lotus reserves the right to seek all fees associated with this motion and all subsequent proceedings under the LPA in arbitration.

1 Respectfully submitted,

2 Dated: May 20, 2022

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PROOF OF SERVICE BY E-MAIL
(CCP 1013a, 2015.5)

I declare that I am a citizen of the United States and that I am over the age of 18 years, employed in the County of San Mateo, and not a party to the within action; my business address is 1100 Alma Street, Suite 210, Menlo Park, CA 94025.

On May 20, 2022, I caused a copy of the following: **DEFENDANTS' MEMORANDUM OF POINTS & AUTHORITIES IN SUPPORT OF MOTION TO COMPEL ARBITRATION AND DISMISS OR STAY JUDICIAL PROCEEDINGS, AND FOR ATTORNEY'S FEES, COSTS, AND EXPENSES** to be sent from email address jlb@jsmf.com to persons at the email addresses listed below:

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*Attorneys for Plaintiffs Green Sands Investment
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I did not receive within a reasonable time of the transmission, any electronic message or other indication that the transmission was unsuccessful.

I declare under penalty of perjury under the laws of the State of California that the foregoing are true and correct. Executed at Menlo Park, California, on May 20, 2022.



JANET BILLUPS